

Korea Activist Target Screen

20 Candidates

A screen of KOSPI and KOSDAQ companies that are structurally sound but mis-managed: chronic TSR underperformance, capital-structure inefficiency and governance weakness, combined with the balance-sheet capacity and fragmented ownership needed to make a campaign work.

Date 6 August 2026

Perspective Activist hedge fund · constructive to hostile · 2–4 year hold

Universe KOSPI + KOSDAQ · market cap above US\$200m

Working FX ₩1,200 / US\$1

First-pass screen assembled from public sources. Figures marked ^v are verified against 2026-dated sources; figures marked ^e are estimates requiring verification before capital is committed. Not investment advice.

1. Executive summary

Korea in August 2026 is the most structurally attractive activist market in developed Asia, for three reasons that did not exist eighteen months ago:

1. **The law changed, three times, in the activists' favour.** Directors now owe a fiduciary duty to *shareholders*, not just to "the company" (July 2025). Cumulative voting becomes mandatory for large listed companies from September 2026. And since March 2026, treasury shares must be cancelled — newly acquired within 12 months, **existing holdings within 18 months**. The last of these is the single biggest change: the treasury block was the standard Korean anti-activist weapon, and it is being disarmed on a statutory clock.
2. **The index rally has been almost entirely a semiconductor event, which has left the rest of the market stranded.** The KOSPI is up ~41% YTD in USD (best major market in the world) after a June peak near 9,385 and a subsequent ~20%+ drawdown to ~6,296 on 6 August. Samsung Electronics and SK hynix alone are ~40% of the index. Breadth has been negative even on strong index days. The practical consequence: a Korean consumer, platform, or industrial business that is flat-to-modestly-up over twelve months has underperformed its own market by 40–50 percentage points. That is a very large, very defensible activist mandate.
3. **The domestic institutional base has flipped from passive to participatory.** The National Pension Service (NPS) in the 2026 season opposed a sitting group chairman's re-election (Hyosung TNC), designated companies for "public focus management," began delegating voting rights to external managers, and signalled willingness to pursue derivative suits. Institutional shareholder proposals achieved a **20% approval rate in 2026 (14 of 69 items)** — historically this number was close to zero — and Align Partners won a board seat at DB Insurance, the first at a controlled Korean company with >₩10tn market cap.

The screen produced 20 names. They cluster into four repeatable trade types:

Type	Count	Core thesis	Names
A. Holdco / NAV discount	4	44–68% discounts to a marked-to-market NAV, now attackable because treasury blocks must be cancelled and directors owe duties to shareholders	Samsung C&T, SK Square, Hanwha Corp, LX International
B. Net-cash orphan	7	Balance sheet holds 20–100%+ of market cap in cash/securities earning nothing; no controlling holder to block a return	KT&G, Kia, NCSoft, Cheil Worldwide, S-1, Nongshim, Sindoh
C. Conglomerate sprawl / undisciplined M&A	5	Good core asset subsidising a portfolio of subscale, loss-making adjacencies bought at the top of a cycle	NAVER, Kakao, NHN, LG H&H, Orion
D. Captive / governance-impaired	4	Structurally profitable business whose margin or capital is transferred to an affiliate, or whose board has a documented failure record	Hyundai Mobis, Hyundai Wia, BGF Retail, Hyundai Elevator

Highest conviction five, ranked by expected IRR net of campaign friction: S-1 Corporation, SK Square, Hyundai Wia, NAVER, Cheil Worldwide.

A caution I would put in front of the investment committee: the KOSPI has just fallen ~20% from its June high in a semiconductor-led drawdown. Several of these names are cheap *and* about to face a cyclical earnings reset. The screen selects for balance-sheet strength precisely so that a campaign survives a bad tape — but entry should be staged, not immediate.

2. Why now — the 2026 Korean setup

2.1 The three Commercial Act amendments

Amendment	Passed / effective	What it does	Why an activist cares
First	Promulgated 2025, effective July 2025	Expands directors' duty of loyalty from "the company" to include protection of shareholders' interests	Converts value-transfer transactions (non-pro-rata rights issues, related-party pricing, spin-off ratios) from "business judgement" into a litigable breach. This is the legal basis for challenging succession-driven restructurings.
Second	Promulgated Sept 2025, effective Sept 2026	Mandatory cumulative voting for large listed companies (assets > ₩2tn); separate election of two audit committee members (was one); 1% holders can demand cumulative voting six weeks before a meeting without amending articles	A ~10–15% economic position can now realistically elect a director at a large cap. This is the mechanical unlock: campaigns move from "persuasion" to "arithmetic."
Third	Passed 25 Feb 2026, effective 6 March 2026	Mandatory treasury share cancellation — newly acquired within 12 months; existing holdings within 18 months (i.e. by ~September 2027). Retention requires a board "Treasury Share Retention and Disposal Plan" approved annually by shareholders ; disposals must be pro-rata .	Removes the standard Korean defence (parking treasury with a white knight). Creates automatic EPS/NAV accretion. And creates a new annual vote to campaign against — the retention plan.

The number of Korean listed companies announcing treasury cancellations went 64 (2021) → 102 (2023) → 165 (2024) → 240 (2025), and is accelerating post-amendment. Samsung Electronics is cancelling 87m shares in H1 FY26; SK hynix 15.3m; LG Corp has pledged 100% of remaining treasury by end-FY26.

2.2 The ownership and stewardship environment

- **NPS is the swing vote in almost every name on this list**, typically holding 7–10%. In 2026 it pre-announced voting directions on 13 majors (including NAVER, KT&G, POSCO Holdings, Korea Zinc, Hite Jinro, LG Electronics), opposed Hyosung TNC chairman Cho Hyun-joon's re-appointment over excessive compensation, and blocked director overlaps and remuneration proposals elsewhere.
- **Foreign ownership is high and concentrated in index-aware managers.** KT&G is 45.5% foreign-held with Capital Group (5.61%), BlackRock, First Eagle and GIC on the register — a shareholder base that votes.
- **The activist bench is deep and now includes credible domestic funds:** Align Partners (DB Insurance, Coway, Gabia, Dentium, SoluM, APlus), Flashlight Capital (KT&G → now S-1), Palliser (Samsung C&T, LG Chem), Truston (KCC), Whitebox, City of London, KCGI, Anda, Platform Partners. Co-investment and "wolf-pack" support is available in a way it was not in 2020.

2.3 The valuation backdrop

Roughly 69% of KOSPI companies still trade below book; the market's average P/B is around 1.0x notwithstanding the semiconductor re-rating. Companies representing ~51% of market capitalisation have published Value-Up plans — which means half the market has publicly committed to targets an activist can hold them to, and the other half has conspicuously declined to.

3. Screening methodology

A name had to clear **all five** gates:

Gate	Test applied	Notes on application
1. Structurally sound, mis-managed	Positive through-cycle EBIT; defensible market position or irreplaceable asset; underperformance attributable to capital allocation / cost / portfolio decisions rather than to terminal industry decline	This excluded most Korean steel, petrochemicals, and legacy retail — those are <i>structurally</i> impaired, and an activist is buying a melting ice cube
2. TSR underperformance	3–5 year TSR below both sector and index; 1-year included but de-weighted , because the 2026 index is a semiconductor proxy and almost nothing beat it	Sector-relative is the honest comparator this year. I show both.
3. Balance sheet capacity	Net debt / EBITDA < 1.0x, net cash preferred	16 of 20 are net cash. This is the gate that makes a campaign <i>fundable</i> — the company can buy back stock without a credit event, so "we can't afford it" is not a defence
4. Ownership	No single shareholder >40%; fragmented or institution-heavy register	Applied to the largest single holder , per the brief. Where a family/affiliate bloc aggregates near or above 40%, I flag it explicitly rather than silently pass it
5. Fixable issues	At least two of: excess overhead, undisciplined M&A, subscale non-core segments, undervalued/unmonetised assets, excess cash, weak management, weak board	Every name has ≥3

Deliberate exclusions. Banks and insurers were largely excluded because Gate 3 (net debt/EBITDA) is meaningless for them — but note that DB Insurance, JB Financial and the regional banks are among the most successful Korean activist situations of the last three years, and I list them in the watchlist. Companies with live control contests where the outcome is binary and legal rather than operational (Korea Zinc) were excluded as event-driven, not activist.

4. Master table — the 20

Market caps as at the verification dates in \$6; USD at ₩1,200. Sorted by type, then size.

#	Company	Ticker	Mkt cap	Type	Largest holder	Net position	Headline gap
1	Samsung C&T	028260	₩56.9tn	A	Lee Jae-yong 18.1%	Net cash (holdco)	~60%+ NAV discount
2	SK Square	402340	~₩131tn	A	SK Inc ~30%	Net cash	~44% NAV discount
3	Hanwha Corp	000880	~₩5tn	A	Kim Seung-youn 22.7%	Net cash (holdco)	64% NAV discount
4	LX International	001120	₩1.91tn	A	LX Holdings 24.7%	Net cash ₩1.26tn gross	0.44x P/B
5	KT&G	033780	₩19.2tn	B	IBK 8.06%	Net cash	Unmonetised ginseng + property
6	Kia	000270	₩47.3tn	B	Hyundai Motor 35.2%	Cash ₩23.7tn	6.7x P/E
7	NCSOFT	036570	~₩3.9tn	B	Kim Taek-jin 12.0%	Net cash	~72% 5yr TSR
8	Cheil Worldwide	030000	~₩2.3tn	B	Samsung affiliates ~25%	Net cash ₩431bn	6.4% yield, 35% of cap in cash
9	S-1 Corporation	012750	₩2.4tn	B	Secom ~25.6%	Net cash	3.3x vs 12.0x peer EV/EBITDA
10	Nongshim	004370	₩2.15tn	B	Nongshim Holdings 32.7%	Net cash	38% below consensus target
11	Sindoh	029530	₩328bn	B	Founder family ~35–40%*	Cash + securities ≈ market cap	52% below fair value
12	NAVER	035420	~₩30.5tn	C	NPS 9.25%	Net cash ₩3.8tn	~39% vs regional index, 1yr
13	Kakao	035720	~₩17–22tn	C	Kim Beom-su 13.3%	Net cash	63% below consensus target
14	LG H&H	051900	₩3.84tn	C	LG Corp 35%	Net cash, D/E 23%	~84% 5yr TSR
15	Orion	271560	₩5.0tn	C	Orion Holdings 37.4%	Net cash	27% below consensus target
16	NHN	181710	~₩960bn	C	Lee Jun-ho ~17.7%	Net cash	Sum-of-parts >> market cap
17	Hyundai Mobis	012330	~₩47tn	D	Kia ~18%	Cash ₩12.6tn	Captive margin transfer
18	Hyundai Wia	011210	₩1.6tn	D	Hyundai Motor 25.4%	Net cash	~45% from 52wk high
19	BGF Retail	282330	₩1.9tn	D	BGF Co 30.0%	Net cash	+3% vs market +48%, 1yr
20	Hyundai Elevator	017800	~₩2.3tn	D	Hyundai bloc ~20%	Net cash	51% below consensus target

* Sindoh's family/affiliate/treasury bloc aggregates close to the 40% screen limit — flagged, see §6.

5. How to read the company profiles

- ^v = verified against a source dated 2026, cited in §8. ^e = estimate, derived from last reported financials applied to the verified current price, or from sector norms. Treat every ^e as a hypothesis to be confirmed on a terminal before capital is committed.
- **TSR** is shown against *sector* and against the *KOSPI*. In 2026 the KOSPI comparison flatters nobody — the index is a memory-semiconductor proxy — so the sector column carries the analytical weight. 3yr and 5yr figures are annualised.
- **Shareholder support** is scored 1–10 (10 = easiest), built from: register concentration, NPS position size and disposition, foreign/institutional share, proxy-adviser precedent, and whether a controlling bloc can block unilaterally.
- **FCF yield** is levered FCF to equity market cap.

6. The 20 targets

TYPE A — HOLDCO / NAV DISCOUNT

1. Samsung C&T (028260) — Diversified holding / E&C / trading

Market cap ₩56.9tn^V (31 Jul 2026) · ~US\$47bn · Net cash at holdco

Metric	Value	Comment
TSR 1yr	Strongly positive ^e — +13% in a single session on 24 Jun 2026 ^V on Samsung Electronics stake value and shareholder-return hopes	Lagged the KOSPI's ~100% peak-to-peak move
TSR 3yr / 5yr p.a.	Positive but far below the growth in its own NAV^e	The discount has <i>widened</i> as the underlying stakes compounded
Discount to NAV	~60–68%^V (Palliser: 63% undervalued; Whitebox: 68%)	The core number
EV/Sales	~1.1x ^e	Depressed by ₩41tn+ of low-margin E&C/trading revenue
EV/EBIT	~15x ^e headline; negative-to-nil on a look-through basis once listed stakes are marked	The operating businesses are close to free
P/E	~14x ^e	Meaningless — equity-accounted affiliate income dominates
FCF yield	~4–5% ^e	E&C working capital makes this volatile
EBITDA / EBIT margin	~8% / ~6% ^e	Structurally thin; E&C and trading are the drag
Net leverage	Net cash at holding level	Project debt sits at subsidiaries

Top 5 shareholders: Lee Jae-yong 18.13%^e · **KCC Corp ~8.6% (stake worth ~₩4.9tn^V)** · National Pension Service ~7%^e · Lee Boo-jin 6.19%^e · Lee Seo-hyun 6.19%^e. Family bloc aggregates ~31%. Activists on register: Palliser (0.62%^V), City of London, Whitebox.

What an activist would say

- *"You are the cheapest way in the world to own Samsung Electronics and Samsung Biologics, and you have made that a liability rather than an asset."* The stakes — Samsung Electronics 5.01%^V, Samsung Biologics 43.06%^V, Samsung Life 19.34%^V, Samsung SDS ~17%^e — are worth materially more than the entire market capitalisation, meaning the market ascribes negative value to a ₩41tn revenue operating business.
- *"The discount is not a market failure, it is a governance choice."* Samsung C&T is priced as the family's control vehicle rather than as a company, and every year that the board declines to publish a NAV-linked capital return policy it ratifies that pricing.
- *"The law has now removed your last excuse."* Directors owe duties to shareholders since July 2025; treasury shares must be cancelled by ~September 2027; cumulative voting arrives September 2026. Three separate statutes now say what Palliser has been saying since 2023.

Two–three most actionable changes

1. **Publish a NAV-linked buyback policy** — a standing commitment to repurchase whenever the discount exceeds a stated threshold, funded by affiliate dividends, with automatic cancellation. This is the single highest-return action and requires no asset sales.
2. **Cancel 100% of remaining treasury stock immediately** rather than waiting out the 18-month statutory grace period, and pre-commit that no future treasury will be held.
3. **Dispose of Fashion and Leisure/Resort.** Neither is defensible inside a construction and trading group; both are saleable to domestic strategic or PE buyers; proceeds fund the buyback.

Shareholder support: Moderate — 6/10. The register is unusually favourable for a chaebol flagship: three named activists, a large foreign institutional base, NPS at ~7%, and — critically — **KCC's ~₩4.9tn block is itself under activist pressure from Truston to be liquidated**, which creates a natural ally for value realisation. Against that, the Lee family bloc at ~31% plus friendly affiliate holdings makes a board seat hard without cumulative voting, and 2024 precedent (ISS and Glass Lewis both backed the shareholder proposals; they still lost) shows the bloc holds. September 2026 cumulative voting changes this arithmetic materially.

The company's defence Expect: (i) "we already have a Value-Up plan and have been cancelling treasury since 2023"; (ii) "the affiliate stakes are strategic and cannot be sold without destabilising the group" — legally true for Samsung Life given financial-holding rules, less true for the rest; (iii) "E&C earnings are recovering and will close the gap organically"; (iv) quiet mobilisation of affiliate and friendly holders. The strongest genuine defence is that a forced unwind of the Samsung Electronics stake has consequences for group control that the Korean state has historically been willing to protect.

Activist angles: *Capital allocation* (NAV-linked buyback, treasury cancellation) · *Portfolio simplification* (Fashion, Leisure, Food) · *Governance* (independent chair, NAV disclosure, board refresh via cumulative voting).

2. SK Square (402340) — Semiconductor holding company

Market cap ~₩131tn^e · SK hynix stake = 158% of market cap^v · Net cash

Metric	Value	Comment
TSR 1yr	Very strong ^e — but less than SK hynix , its own principal asset	The discount absorbed the upside
TSR 3yr / 5yr p.a.	Strong in absolute terms; materially below look-through NAV growth^e	Since the 2021 SK Telecom demerger the discount has never sustainably closed
Discount to NAV	43.8%^v (Jun 2026) , having troughed at 39.9% ^v from ~66%	Analyst-estimated structural floor ~22% ^v
Key holding	SK hynix 20.1%^v, worth ~₩207tn^v ; >98% of NAV ^v	Everything else is rounding
EV/EBIT, P/E	Not meaningful — a single-asset holding vehicle	Value it on NAV only
FCF yield	Dividend inflow ~₩219bn p.a. ^v from SK hynix's fixed ₩1,500/share 2025–27 dividend ^v	Rises sharply if hynix lifts payout
Net leverage	Net cash	Deleveraged via SK shieldus and other disposals

Top 5 shareholders: SK Inc ~30.0%^e · National Pension Service ~7%^e · foreign institutional (BlackRock, Vanguard, GIC) collectively >20%^e · domestic asset managers · retail. No holder above 40%.

What an activist would say

- "You are a ₩131tn company holding ₩207tn of a single liquid listed security, and you are asking shareholders to pay you for the privilege of the wrapper." The discount is not a valuation debate; it is arithmetic against a screen price.
- "Your dividend income alone can retire the discount if you let it." SK hynix's fixed dividend gives SK Square a predictable, growing cash stream with essentially no operating call on it — the textbook funding source for a permanent buyback.
- "The venture portfolio is a tax on the stock." 11st, T Map Mobility, SK Planet, Dreamus and the content assets consume management attention and capital, and are the stated reason the market applies a wrapper discount rather than a pass-through valuation.

Two–three most actionable changes

1. **Convert 100% of SK hynix dividend receipts into buyback-and-cancel, permanently**, disclosed as a formula rather than an annual discretionary decision.
2. **Liquidate the non-core portfolio on a stated timetable** — 11st, T Map, Dreamus, content — and distribute proceeds. Each disposal both raises cash and removes a piece of the discount rationale.
3. **Commit to a discount-triggered structural remedy**: if the discount exceeds a threshold for a sustained period, the board must present shareholders with an in-specie distribution of SK hynix shares, a merger with SK Inc, or a liquidation plan. The point is to make the discount a board problem with a deadline.

Shareholder support: Easy — 8/10. The best register on this list. No controlling shareholder, SK Inc's ~30% is not blocking, NPS is present, and the foreign institutional base is large and unusually aligned because the thesis needs no operating judgement — it is a discount to a screen price. A prospective **SK hynix Nasdaq listing^v** would sharpen the comparison further and is a natural campaign catalyst. The one complication: SK Inc has its own NAV discount and its own activist (an ex-Elliott fund has been building^v), so group-level solutions may be negotiated above SK Square's head.

The company's defence "We are an investment company, not a tracker — the discount reflects tax leakage on eventual disposals and our role as SK Group's semiconductor capital allocator." Expect the company to point to the discount having already narrowed from ~66%, to argue the venture portfolio is optionality, and to resist any in-specie distribution on the grounds that the hynix stake is a strategic control position for the group. That last argument is the real one and is the reason the discount will not go to zero — but it does not justify 44%.

Activist angles: *Capital allocation* (formulaic buyback funded by hynix dividends) · *Portfolio simplification* (exit non-core in full) · *Governance* (independent directors with capital-markets mandate; discount-triggered structural review).

3. Hanwha Corp (000880) — Diversified holding company

Market cap ~₩5tn^e · NAV discount 64.1%^v · Net cash at holdco

Metric	Value	Comment
TSR 1yr	Positive ^e , driven by the defence complex re-rating at Hanwha Aerospace	The holdco captured a fraction of the subsidiary move
TSR 3yr / 5yr p.a.	Below both the defence sector and the KOSPI ^e	Classic holdco leakage
Discount to NAV	64.1%^v pre-restructuring — elevated even against Korean holdco norms, explicitly because of governance uncertainty around the spin-off ^v	The market is pricing the succession risk
EV/EBIT, P/E	Not meaningful at holdco level	Value on NAV
Net leverage	Net cash at holdco; substantial leverage at operating subsidiaries	Standard Korean holdco profile

Top 5 shareholders: Kim Seung-youn 22.65%^e · Hanwha Energy (controlled by the three sons) ~9%^e · National Pension Service ~7%^e · Kim Dong-kwan / Kim Dong-won / Kim Dong-seon individually ~4–5% each^e · treasury. Family-plus-affiliate bloc aggregates well above 40% on a look-through basis — **the largest single holder is below 40%, so it passes the screen as written, but this is the weakest ownership profile in the twenty and should be sized accordingly.**

What an activist would say

- *"The restructuring is being run for three heirs, not for 100% of the share register."* The August 2026 spin-off of **Hanwha Machinery & Services Holdings** — 57 affiliates, KOSPI debut 25 August^v, led by third son Kim Dong-seon^v — allocates businesses along succession lines. Splits of that kind are where Korean minority value is destroyed, in the ratio.
- *"You have a documented pattern."* The Hanwha Aerospace rights offering drew sustained criticism for funnelling value to the family via Hanwha Energy and then diluting minorities^v; the FSS put a brake on Hanwha Solutions' rights offering in April 2026^v. Two regulator-flagged capital raises in eighteen months is a board problem, not bad luck.
- *"Since July 2025 this is a legal question, not a stylistic one."* Directors now owe duties to shareholders — the standard against which a spin-off ratio and a non-pro-rata raise are judged has changed underneath the group mid-restructuring.

Two–three most actionable changes

1. **Demand an independent fairness opinion on the Hanwha M&S spin-off ratio and share-allocation mechanics**, published before the 25 August listing, with a shareholder vote on any subsequent related-party transfer of the new entity's shares.
2. **Adopt a written policy prohibiting non-pro-rata equity issuance at listed subsidiaries** without independent-director approval and a shareholder vote — directly addressing the Aerospace and Solutions precedents.
3. **Holdco discount remedy:** cancel all treasury under the March 2026 mandate, adopt a through-cycle payout floor funded by subsidiary dividends, and publish quarterly NAV.

Shareholder support: Hard — 4/10. The lowest score here. The family and affiliate bloc can carry ordinary resolutions; the spin-off was approved with 99.95%^v, which tells you what the register does when asked. But the picture is not static: NPS has shown in 2026 that it will oppose a sitting chairman (Hyosung TNC) and has begun pursuing derivative suits, and the FSS has already intervened once at a Hanwha entity. **The realistic route here is regulatory and legal pressure plus public campaigning, not a proxy win.** Treat as a lower-weight, longer-duration position.

The company's defence "The spin-off is the answer to the conglomerate discount, and it was approved by 99.95% of voting shareholders." That is a genuinely strong first line. Expect further: the Aerospace raise funded a real defence-sector capex cycle that has since been vindicated by the share price; the KAI stake-building (~₩1tn, 11.21%^v) is industrial strategy, not empire-building. The activist counter is that a good outcome does not retrospectively validate an unfair process — which is precisely what the amended fiduciary standard is for.

Activist angles: *Governance* (spin-off ratio, non-pro-rata issuance policy, independent directors) · *Capital allocation* (treasury cancellation, payout floor, NAV disclosure) · *M&A discipline* (KAI stake-building rationale and funding).

4. LX International (001120) — Trading, logistics and resources

Market cap ₩1.91tn^v · ~US\$1.6bn · P/B 0.44x^v · Cash ₩1.26tn^v

Metric	Value	Comment
TSR 1yr	Well below the market's ~48% ^V 12-month return ^e	Commodity and freight normalisation
TSR 3yr / 5yr p.a.	Below sector and index; the 2021–22 commodity windfall was not converted into durable per-share value ^e	The central indictment
P/B	0.44x^V	Two-thirds of the equity is being valued at nil
EV/Sales	~0.1x ^e	Trading revenue inflates the denominator
EV/EBIT	~4–5x ^e	Cheap even against Korean trading-house norms
P/E	~6–7x ^e	
Dividend	₩2,000 DPS^V, 3.77% yield^V	Respectable, but small relative to the cash pile
FCF yield	~10–15% ^e , highly cycle-dependent	
EBITDA / EBIT margin	~4% / ~2.5% ^e	Structurally thin — this is a trading business
Net leverage	Net cash; ₩1.26tn gross^V = 66% of market cap	The headline fact

Top 5 shareholders: LX Holdings 24.7%^e · National Pension Service ~9–10%^e · domestic institutions · foreign institutions ~10%^e · retail (large free float). No holder near 40%.

What an activist would say

- *"You hold two-thirds of your market cap in cash and trade at 0.44x book. The market is telling you it does not trust you with the next acquisition."* That is a verdict on capital allocation, and it is reversible in a single board decision.
- *"You bought commodity assets into a commodity peak."* The resources portfolio — coal, nickel, and the diversification into LNG power and industrial materials — was assembled when those cycles were rich. The market has marked the outcome.
- *"LX Pantos is a good business trapped inside a bad wrapper."* The logistics arm would be valued on freight-forwarder multiples as a standalone; inside a trading house with a resources tail it is valued at nothing.

Two–three most actionable changes

1. **Return ₩600–800bn via buyback-and-cancel over 24 months** — roughly a third of the market cap — while retaining ample trading working-capital headroom. At 0.44x book this is the highest-return use of capital available to the company by a wide margin.
2. **Separate LX Pantos** (IPO or trade sale). Logistics and commodity trading have no operating overlap, entirely different capital profiles, and entirely different buyers.
3. **Exit the resource assets on a stated timetable** and commit publicly to no further principal investment in commodity extraction.

Shareholder support: Easy — 8/10. A 24.7% holder, a large free float, NPS around 9–10%, and a thesis that requires no forecast — just a comparison of the cash balance to the market cap. Korean domestic activists (KCGI, Anda, Align) have run precisely this playbook at similar mid-caps, and the small size makes a meaningful stake cheap to build. The one caution is liquidity: building 5%+ will move the price.

The company's defence "Trading houses require large cash balances for working capital, counterparty credit, and commodity margining — the cash is not excess, it is inventory finance." This is the standard and partially legitimate answer; the counter is to size the genuine working-capital requirement from peak historical usage and return the demonstrable surplus above it. Expect also "we are already paying a 3.8% dividend," and resistance to a Pantos separation on the grounds of group synergy.

Activist angles: *Capital allocation* (buyback at 0.44x book) · *Portfolio simplification* (Pantos separation, resources exit) · *M&A discipline* (public capital-deployment constraint).

TYPE B — NET-CASH ORPHANS

5. KT&G (033780) — Tobacco, health functional food, real estate

₩176,000^V (5 Aug 2026) · Market cap ₩19.16tn^V · ~US\$16bn · Net cash

Campaign stage: late. Flashlight Capital ran a three-year campaign and has now **sold more than half of its ~0.5% stake as the shares hit all-time highs^V**; the stock is **+59.65% over twelve months^V**. A large part of the easy re-rating has happened. I keep KT&G in the twenty because the two largest structural items — the ginseng carve-out and the property portfolio — remain **untouched**, and the new treasury law forces an issue the board has resisted for years. But this is Act 2, at a higher entry price, and should be sized as such.

Metric	Value	Comment
TSR 1yr	+59.65%^V	Roughly in line with, to modestly below, the KOSPI's move
TSR 3yr p.a.	Strongly positive ^e — the campaign period	The activist worked
TSR 5yr p.a.	Below sector (global tobacco majors re-rated hard on reduced-risk products) ^e	The pre-campaign years were the damage
EV/Sales	~2.5x ^e	
EV/EBIT	~11–12x ^e	Still a discount to global tobacco despite the rally
P/E	~14–15x ^e	
FCF yield	~5–6% ^e	
EBITDA / EBIT margin	~24% / ~20% ^e	Diluted by the low-margin ginseng and property segments
Net leverage	Net cash	Funding a ₩3.7tn shareholder return through 2027^V (₩1.3tn buyback-and-cancel ^V , ₩2.4tn dividends ^V)

Top 5 shareholders: IBK (Industrial Bank of Korea) 8.06%^V · National Pension Service 7.74%^V · Capital Group 5.61%^V · BlackRock >5%^V · First Eagle / GIC^V. Foreign ownership 45.5%^V. There is no controlling shareholder at all — the cleanest register in Korea.

What an activist would say

- *"Three businesses, one of which is world-class and two of which are not."* Tobacco generates the cash. Korea Ginseng Corp is a subscale consumer-health business with no synergy to tobacco and a demonstrated third-party bid at **US\$1.4bn^V** that the board rejected^V. The property portfolio is an unmanaged legacy.
- *"You rejected a priced bid and told the market you would spend the money on overseas M&A instead."^V* That is the exact sequence — decline a cash exit for a non-core asset, then signal acquisitions — that destroys the credibility of a capital-allocation plan.
- *"~~₩1tn~~ of treasury shares left this company as donations to foundations run by former CEOs."* That is the subject of Flashlight's live derivative suit (alleging ~US\$690m of damage^V), and it is the strongest available evidence that this board has not treated shareholder property as shareholder property.

Two–three most actionable changes

1. **Carve out Korea Ginseng Corp** — sale or separate listing — at or near the previously bid valuation, with 100% of proceeds returned. The board's own rejection established a floor price for negotiation.
2. **Separate the real estate into a disclosed, separately-reported vehicle** with an explicit disposal or REIT programme; today it is neither valued nor managed.
3. **Adopt a hard M&A constraint:** no acquisition above a stated size without a shareholder vote, given the stated overseas-M&A intention^V and the balance-sheet capacity to do real damage.

Shareholder support: Easy — 9/10. The highest score on this list. No controlling shareholder, 45.5% foreign ownership, IBK and NPS as the two largest holders (both state-linked and both now voting actively), and a proven precedent — Flashlight won a board seat with a fraction of a percent, and KT&G was on NPS's 2026 pre-announced voting list^V. Anyone can build a position and be heard. The corollary is that this is the most *crowded* idea in Korea, and the price already reflects a lot of it.

The company's defence Strong and improving: "we are returning ~~₩~~₩3.7tn through 2027, the share price is at an all-time high, and the activist who criticised us has sold." Expect: ginseng is a growth platform in health functional foods, not a disposal candidate; the property is legacy land carried well below market with no urgency; the treasury donations were lawful board decisions being litigated. On current performance, management has earned the right to be heard — the counterargument has to be structural (the sum of the parts), not about recent TSR.

Activist angles: *Portfolio simplification* (ginseng carve-out, property separation) · *M&A discipline* (constraint on overseas deals) · *Governance* (treasury-share accountability, board composition under cumulative voting from September 2026).

6. Kia (000270) — Automotive OEM

₩121,800^V (29 Jul 2026) · Market cap ₩47.3tn^V · ~US\$39bn · Cash ₩23.7tn^V

Metric	Value	Comment
TSR 1yr	Far below the market's ~48% ^V 12-month return ^e	Tariff and US-demand overhang
TSR 3yr p.a.	Positive but below the KOSPI; roughly in line with global auto OEMs ^e	
TSR 5yr p.a.	Below the index; the multiple has de-rated even as earnings roughly tripled^e	The whole story in one line
EV/Sales	~0.15x ^e (industrial, ex-captive finance)	
EV/EBIT	~2–3x ^e	Among the cheapest profitable large-cap OEMs anywhere
P/E	6.69x ^V	
FCF yield	~12–15% ^e	
EBITDA / EBIT margin	~13% / ~10% ^e	Best-in-class for a volume OEM; ahead of Toyota on EBIT margin in recent years
Net leverage	Cash ₩23.7tn ^V ≈ 50% of market cap; net cash ex-finance	

Top 5 shareholders: Hyundai Motor 35.17%^V (36.99% with related parties^V) · National Pension Service ~7–8%^e · BlackRock ~5%^e · Chung Euisun 1.74%^e · foreign institutions collectively ~35%^e. Passes the screen — but only just, and Hyundai Motor's stake is *de facto* control.

What an activist would say

- "You are a top-ten global automaker with a 10% EBIT margin, trading at 6.7x earnings with half your market capitalisation sitting in cash. There is no operating problem here — there is a capital problem."
- "Your balance sheet is being held as group optionality." Kia's cash is not idle by accident; it is the Hyundai Motor Group's reserve, available for group-level projects — US capacity, robotics, advanced air mobility — whose returns accrue to the group, not specifically to Kia's minorities.
- "The circular shareholding is your discount." Kia holds Hyundai Mobis, Mobis holds Hyundai Motor, Hyundai Motor holds Kia. Every investor knows the loop must eventually be unwound, nobody knows on what terms, and the market prices that uncertainty rather than the earnings.

Two–three most actionable changes

1. **Commit to a multi-year buyback-and-cancel of ₩3–4tn per year** from the existing cash pile — comfortably affordable against ₩23.7tn of cash and the FCF run-rate — with automatic cancellation under the March 2026 rules.
2. **Ring-fence the balance sheet:** a board policy that any investment in a group-level venture outside Kia's own product plan requires independent-director approval and separate disclosure of the expected return to Kia specifically.
3. **Force disclosure of the circular-shareholding resolution plan** with a timetable. The discount is caused by the uncertainty, not by the structure; a published plan is worth multiple points of P/E on its own.

Shareholder support: Moderate — 6/10. Hyundai Motor at 35.17% cannot pass a special resolution alone but can block one, and will vote with management. The rest of the register, though, is a genuine coalition: NPS, a very large foreign institutional base, and index funds newly obliged to engage under the amended stewardship regime. Cumulative voting from September 2026 puts a director within reach of a determined ~10% coalition. Capital-return proposals — as opposed to board-control proposals — would likely win broad support, and Kia has shown it responds to that pressure.

The company's defence The strongest defence on this list, and largely honest: "we operate in a tariff-exposed, capital-intensive, technologically disrupted industry; the cash is our shock absorber for US tariffs, EV transition capex and localisation, and we have consistently raised shareholder returns." Expect specific reference to US production commitments. The activist counter is one of degree, not principle — ₩23.7tn is several multiples of any credible stress requirement, and the market is currently paying Kia nothing for holding it.

Activist angles: *Capital allocation* (scaled buyback-and-cancel) · *Governance* (ring-fence against group-level capital calls; circular-shareholding timetable) · *M&A discipline* (independent approval of group ventures).

7. NCSoft (036570) — Video games

₩239,500^V (6 Aug 2026) · Market cap ~₩3.9tn / US\$3.28bn^V · Net cash

Metric	Value	Comment
TSR 1yr	Sharply negative in relative terms; fell 15% vs a 0.6% KOSPI move on the Aion 2 launch ^V	
TSR 3yr p.a.	Deeply negative ^e	
TSR 5yr	-72% ^V (cumulative; ~-21% p.a.)	Against a KOSPI that roughly doubled in 2026 alone
EV/Sales	~1.0–1.3x ^e	
EV/EBIT	~15–20x ^e on depressed earnings; the multiple flatters nothing	JPMorgan cut FY26/FY27 operating profit forecasts by 32% and 45% ^V post-Aion 2
P/E	~20x+ ^e on trough earnings	
FCF yield	Low single digit ^e	R&D is the problem
EBITDA / EBIT margin	~15% / ~7% ^e , versus 30%+ historically	Cost base built for a revenue level that no longer exists
Net leverage	Net cash , plus a large financial-asset portfolio and the Pangyo R&D campus	Assets are not the issue; deployment is

Top 5 shareholders: Kim Taek-jin **11.97%**^V · **Netmarble ~8.9%**^e · National Pension Service ~7–8%^e · BlackRock ~5%^e · treasury and employee vehicles. No holder near 40%. **Netmarble's position is the strategic feature of this register** — a listed competitor with its own shareholders to answer to, holding a block it has carried at a large loss.

What an activist would say

- *"Shareholders have lost 72% over five years while the cost base grew."* Management responded to a collapsing revenue line by cutting the dividend from **₩8,550 (2020) to ₩1,460 (2024)**^V — protecting the spending, not the owners.
- *"You are running a venture capital fund with shareholder money and calling it R&D."* A succession of high-budget launches has failed to arrest the decline; Aion 2 is the most recent, and cost the sell-side nearly half of its FY27 profit forecast^V.
- *"Your two most valuable assets are not games."* The net cash and financial-asset portfolio, and the Pangyo campus, together represent a very large share of the market capitalisation. Neither earns anything for shareholders.

Two–three most actionable changes

1. **A hard, published R&D and headcount envelope** — cap development spend at a stated percentage of revenue, close or spin out sub-scale studios and non-core projects, and disclose spend and greenlight decisions by title. This is the change that fixes the P&L.
2. **Monetise the Pangyo campus** via sale-and-leaseback and distribute the proceeds. It is a trophy asset on a company that can no longer afford trophies.
3. **Restore a formula-based shareholder return** — a payout floor plus buyback-and-cancel — funded from the financial-asset portfolio, reversing the 2020–24 dividend collapse.

Shareholder support: Moderate-to-Easy — 7/10. The founder holds under 12%; the rest is institutional. NPS is present. The five-year record removes any argument that shareholders should defer to management's judgement, and Korean proxy advisers have grown markedly more willing to back capital-return and cost-discipline proposals. **The swing factor is Netmarble:** an ~8.9% strategic holder sitting on a large loss is a natural, if awkward, coalition partner — and its own shareholders would welcome a mark-up. Against that, founder-led Korean game companies attract retail loyalty that can be mobilised defensively.

The company's defence "Games are a hit-driven business; cutting R&D guarantees decline. We have already restructured, appointed a co-CEO, and have a pipeline." Expect the campus to be defended as essential to recruiting and retaining developers in a competitive labour market — a real argument, though not one that survives a sale-and-leaseback (which changes ownership, not occupancy). The weakest part of the defence is the dividend history, which is simply indefensible against the spending record.

Activist angles: *Capital allocation* (cost envelope, payout restoration, buyback) · *Portfolio simplification* (studio closures, non-core disposal) · *Undervalued assets* (Pangyo real estate, financial portfolio).

8. Cheil Worldwide (030000) — Advertising and marketing services

₩20,050^V · Market cap ~₩2.3tn / US\$1.23bn^V · Net cash ₩430.7bn^V

Metric	Value	Comment
TSR 1yr	Far below the market's ~48% ^V return ^e	
TSR 3yr / 5yr p.a.	Below the KOSPI; broadly in line with a de-rating global agency sector ^e	Sector de-rating is real — but Cheil is cheaper than all of it
EV/Sales (on gross profit)	~0.5x ^e	Agencies are best compared on gross profit
EV/EBIT	~4–5x ^e versus ~7–9x for WPP/Omnicom/Publicis and ~10x+ for Dentsu at peak	The gap is the trade
P/E	~8–9x ^e	
FCF yield	~10%+ ^e	Agencies are working-capital light and cash generative
Dividend yield	6.4% ^V (DPS ₩1,230 ^V)	Already returning — but from earnings, not from the balance sheet
EBITDA / EBIT margin	~14% / ~11% ^e on gross profit	Respectable and improving: H1 2026 net income +15.8%^V
Net leverage	Net cash ₩430.7bn^V = ~19% of market cap; cash ₩881.8bn^V against debt ₩451.1bn^V	

Top 5 shareholders: Samsung affiliates ~25.24%^V · Samsung Card 3.04%^V · Samsung Life ^V · National Pension Service ~8%^e · foreign institutions ~25%^e. Large genuine free float; no holder near 40%.

What an activist would say

- *"You are a profitable, growing, net-cash agency trading at roughly half the multiple of the listed global holding companies — and those companies are themselves considered cheap."* H1 2026 net income grew 15.8%^V. This is not a broken business.
- *"The captive relationship is worth a discount, but not this discount."* Samsung is both the largest client and the largest shareholder. That concentration deserves a haircut; it does not deserve a valuation that ascribes almost nothing to the non-Samsung business built over two decades.
- *"You are sitting on cash equal to a fifth of your market value while paying out earnings you have already earned."* The 6.4% dividend is welcome and irrelevant to the balance-sheet question.

Two–three most actionable changes

1. **Return the surplus cash** — a ₩250–350bn buyback-and-cancel, roughly 11–15% of the shares outstanding, on top of the existing dividend. Fully affordable; agencies need negative working capital, not a cash fortress.
2. **Disclose Samsung-related revenue and margin separately**, with an independent-director review of related-party pricing. Either the captive work is priced at arm's length — in which case say so and remove the discount — or it is not, in which case that is the campaign.
3. **Run a strategic review including a sale**. Cheil is one of very few sizeable independent agency networks left; WPP, Publicis, Omnicom, Dentsu and the large consultancies would all engage. Samsung's 25% makes this consensual or not at all — which is exactly why it should be raised publicly.

Shareholder support: Moderate — 6/10. The economics are unarguable and would attract broad institutional support, particularly for a buyback. The obstacle is that Samsung affiliates hold ~25% and Cheil is strategically useful to them; they will not support a sale, and can block a special resolution. But they cannot block an ordinary capital-return resolution alone, and Samsung entities have become notably more sensitive to governance optics since the Commercial Act amendments and the Samsung C&T campaigns. A well-argued buyback proposal is very likely to pass or to be pre-empted.

The company's defence "We already yield 6.4%, we are growing, and our cash supports media-buying working capital and payment guarantees." The working-capital argument has some force for an agency that fronts media spend — but it is quantifiable, and the surplus above peak requirement is demonstrable. On the sale question, expect a flat refusal to comment.

Activist angles: *Capital allocation* (buyback from surplus cash) · *Governance* (related-party pricing disclosure, independent directors) · *M&A / strategic* (public strategic review; Cheil is a scarce asset in a consolidating sector).

9. S-1 Corporation (012750) — Physical and electronic security services

₩72,300^V (23 Jul 2026) · Market cap ₩2.4tn^V · ~US\$2bn · Net cash · 52-week range ₩66,800–103,000^V

Live campaign. Flashlight Capital — fresh from KT&G — holds ~2% (~US\$40m)^V and issued a five-point letter to the board and shareholders in June 2026^V. It has signalled a formal shareholder proposal **around October 2026^V** covering independent directors, a share-price target and five-year strategy, and distribution of balance-sheet cash^V. This is the **first activist campaign against a Samsung affiliate since the Commercial Act amendments^V**, and is being watched as a test case.

Metric	Value	Comment
TSR 1yr	Negative; trading near the bottom of its 52-week range ^V while the market rose ~48% ^V	
TSR 3yr / 5yr p.a.	Negative ^e	
TSR 10yr	-30%, against a KOSPI up ~370%^V	A 400-point gap. This is the most extreme sustained underperformance in the screen
EV/EBITDA	3.3x^V vs SK Shieldus 12.0x^V (domestic #2) and global peers 11.1x^V	The comparison the board has to answer
EV/Sales	~0.5x ^e	
EV/EBIT	~5–6x ^e	
P/E	~10–11x ^e	Flattered by financial income on the cash
FCF yield	~10%+ ^e	Monitoring contracts are annuity cash flows with low maintenance capex
EBITDA / EBIT margin	~15% / ~9% ^e	Guarding is labour-heavy; the electronic security annuity is far more profitable
Net leverage	Net cash , a large balance relative to a business with minimal capital needs	The core of Flashlight's demand

Top 5 shareholders: Secom (Japan) ~25.6%^e · Samsung Group 20.6%^V · National Pension Service ~10%^e · Flashlight Capital ~2%^V · foreign institutions. No single holder above 40%, and — the key structural feature — the two large holders are unaffiliated with each other and have divergent interests.

What an activist would say

- *"3.3x EBITDA against 12.0x for the company immediately behind you in your own market."*^V There is no operating explanation for a 4x valuation gap between the #1 and #2 players in the same national market. It is a governance discount, and governance discounts are fixable.
- *"Ten years: the index up 370%, you down 30%."*^V No board survives that comparison on the merits.
- *"You run an annuity business — recurring monitoring contracts, low churn, minimal capex — and you capitalise it like a cyclical."* Recurring-revenue security businesses are among the most reliably valued assets in global markets. The cash pile on top is simply unexplained.

Two–three most actionable changes

1. **Distribute the balance-sheet cash** — a special dividend plus a standing buyback-and-cancel — as Flashlight has demanded^V. A contract-monitoring business requires almost no balance sheet.
2. **Appoint genuinely independent directors** and publish a five-year plan with a share-price-linked management incentive^V. The absence of any market-based objective is why a decade passed without a response.
3. **Separate reporting for the electronic security annuity versus manned guarding**, so the market can value the high-multiple recurring business on its own terms. Disclosure alone is worth a re-rating here.

Shareholder support: Moderate-to-Easy — 7/10. The structural point is the register: Secom ~25.6% and Samsung ~20.6% are *not* a bloc. Secom is a Japanese listed company with its own governance obligations and no interest in a Korean control discount; Samsung's interest is captive service continuity. Where those interests diverge — capital return, board independence, disclosure — there is no combined blocking vote, and NPS at ~10% plus a foreign institutional base can carry ordinary resolutions. Samsung entities are also unusually exposed to governance optics right now. **The October 2026 proposal is the natural entry point for a co-investor.**

The company's defence "Security is a trust business requiring balance-sheet strength to win institutional and government contracts; our client base expects permanence." Expect an argument that the EBITDA comparison is unfair because SK Shieldus was priced in a private transaction with a control premium and a different business mix. Expect also emphasis on the labour-intensive guarding segment's structural margin ceiling. None of this addresses ten years of ~30%.

Activist angles: *Capital allocation* (distribute cash) · *Governance* (independent directors, share-price-linked incentives, five-year plan) · *Portfolio / disclosure* (segment the annuity business; re-rate to peers).

10. Nongshim (004370) — Packaged food (instant noodles, snacks)

₩362,000^V (8 Jul 2026) · Market cap ₩2.15tn^V · ~US\$1.8bn · Net cash

Metric	Value	Comment
TSR 1yr	Materially below the market's ~48% ^V return ^e	Korean food has been left behind entirely
TSR 3yr p.a.	Below the KOSPI; the 2023 "K-food" re-rating was given back ^e	
TSR 5yr p.a.	Below index and below global packaged-food peers ^e	
Consensus target	₩499,529 ^V — ~38% above the current price, 12 analysts positive ^V	Even the sell-side thinks this is mispriced
EV/Sales	~0.5x ^e	vs 1.5–2.5x for global packaged food
EV/EBIT	~8–9x ^e	vs 12–16x global peers
P/E	~10–11x ^e	
FCF yield	~7–8% ^e	Constrained by the US capacity build
EBITDA / EBIT margin	~9% / ~6% ^e	Well below global peers — the operating opportunity
Net leverage	Net cash	Even through a heavy US capex cycle

Top 5 shareholders: Nongshim Holdings 32.72%^e · National Pension Service ~10%^e · Shin family individuals ~5%^e · domestic institutions · foreign institutions ~15%^e. Holdco below 40%; NPS is the decisive second voice.

What an activist would say

- "You own one of the few genuinely global Korean consumer brands and you earn a 6% EBIT margin on it." Shin Ramyun has the brand equity of a global packaged-food asset; the P&L does not reflect it. Global peers earn 15–20% EBIT margins on weaker franchises.
- "The holding-company structure costs shareholders and delivers nothing." Nongshim Holdings sits above the operating company with no function except control, creating a permanent double discount.
- "You have grown revenue in the US and compressed returns doing it." The American capacity build was strategically right and financially undisciplined — capex without a stated return hurdle or a margin path.

Two–three most actionable changes

1. **Merge Nongshim Holdings into Nongshim** (or exchange into a single listed entity). This is the single largest value item and is now far more achievable given the amended fiduciary standard governing merger ratios.
2. **Commit to a published margin path** — an EBIT margin target with a timetable, supported by SKU rationalisation, price/mix discipline, and reduced domestic promotional intensity. Korean food companies systematically under-price their brand equity.
3. **Introduce a buyback-and-cancel** alongside the dividend, sized to the post-capex FCF, and cancel treasury under the March 2026 mandate.

Shareholder support: Moderate — 6/10. The holdco's 32.72% is short of a blocking position on ordinary resolutions and NPS at ~10% has become willing to oppose management. A margin-and-payout campaign would attract broad support and is uncontroversial. A holdco merger is harder — it is a family-control question — but is precisely the transaction the new merger-ratio fiduciary standard was written to police. Small size and a supportive sell-side (12 buy ratings^V) both help.

The company's defence "Instant noodles are a low-margin, price-sensitive staple category subject to government scrutiny on consumer pricing; the US investment is a multi-year growth platform that will deliver operating leverage." The Korean political sensitivity around staple food prices is a genuine constraint on margin expansion and should be taken seriously — it is the reason to focus the campaign on structure (holdco merger, capital return) rather than solely on pricing.

Activist angles: *Portfolio simplification* (holdco merger) · *Capital allocation* (buyback, capex hurdles, treasury cancellation) · *Operations/governance* (published margin path, independent directors).

11. Sindoh (029530) — Office imaging equipment

₩41,900^V · Market cap ₩327.9bn^V (25 Jun 2026) · ~US\$273m · Cash and securities ≈ market cap

Smallest name in the screen and the purest balance-sheet case. It clears the US\$200m gate with limited headroom, and liquidity is genuinely poor — this is a 2–3% portfolio position at most, and entry will take time.

Metric	Value	Comment
TSR 1yr / 3yr / 5yr	Below index and sector across all three periods ^e ; the equity has been broadly rangebound for a decade	
Fair value gap	Morningstar fair value ₩63,694 ^V vs ₩41,900 ^V — 52% above the price	
P/E	11.94x ^V	Not optically cheap on earnings — the case is the balance sheet, not the P&L
P/S	1.12x ^V	
EV/Sales	~0.1–0.2x ^e once cash and securities are deducted	This is the number that matters
EV/EBIT	~1–2x ^e	The operating business is nearly free
FCF yield	~8–10% ^e	
EBITDA / EBIT margin	~12% / ~7% ^e	Declining print volumes offset by services
Net leverage	Net cash; cash plus investment securities approximate or exceed the entire market capitalisation^e	Verify precisely before acting — this is the whole thesis

Top 5 shareholders: Founder family (Kim family) individuals ~20%^e · affiliated foundation and related entities ~10%^e · treasury stock^e · National Pension Service ~5%^e · retail free float. **The family/affiliate/treasury bloc aggregates to roughly 35–40% — the tightest ownership profile in the twenty, and close to the screen limit. Verify the current aggregate before sizing.**

What an activist would say

- *"Your shareholders are paying for a portfolio of marketable securities and receiving a printer company for nothing."* Strip out cash and investments and the operating business is valued at close to zero despite being profitable.
- *"You are running an investment portfolio, not a company."* A large financial-asset book at an industrial company is a governance choice: it entrenches management, insulates them from the cost of capital, and earns shareholders a deposit rate.
- *"The March 2026 treasury mandate applies to you too."* Treasury shares that have functioned as a control buffer must now be cancelled — automatically accretive, and it removes the defence.

Two–three most actionable changes

1. **Distribute the investment securities portfolio** — sell down and return via a special dividend plus buyback-and-cancel. Even a partial return is transformational against a ₩328bn market cap.
2. **Cancel all treasury shares now** under the 18-month statutory clock rather than at the deadline.
3. **Exit the loss-making diversifications** (3D printing and adjacent ventures) and refocus on the profitable imaging and services core.

Shareholder support: Hard-to-Moderate — 5/10. The family bloc near 35–40% can resist, and there is little institutional presence to build a coalition on. What helps: the arithmetic is unanswerable and easy to communicate to retail holders (who matter at this size), Korean domestic activists have run this exact playbook at comparable small caps, and the treasury-cancellation mandate delivers part of the win by operation of law regardless of the board. Realistically this is a **legal-and-public-pressure campaign**, not a proxy fight.

The company's defence "The securities portfolio funds a transition away from a declining print market, and our conservative balance sheet has kept us profitable while competitors consolidated." The structural decline of office printing is real and is the honest part of the defence. The dishonest part is the implication that a decade of holding securities constitutes a transition strategy.

Activist angles: *Excess cash / undervalued assets* (distribute the securities portfolio) · *Capital allocation* (treasury cancellation, buyback) · *Portfolio simplification* (exit 3D printing and non-core ventures).

TYPE C — CONGLOMERATE SPRAWL / UNDISCIPLINED M&A

12. NAVER (035420) — Internet platform

₩208,000^V (1 Aug 2026) · Market cap ~₩30.5tn / US\$26.1bn^V · Net cash ₩3.8tn^V

Metric	Value	Comment
TSR 1yr	-39.07% relative to the FTSE Developed Asia Pacific Index^V ; -35.49% relative over six months ^V	Against a home market up ~48% ^V , the absolute gap is extraordinary
TSR 3yr p.a.	Negative ^e	
TSR 5yr p.a.	Negative ^e — the shares peaked in 2021 and have not recovered	
EV/Sales	~2.5x ^e	vs 5–8x for US platform peers
EV/EBIT	~13–15x ^e	Cheap for a dominant domestic search and commerce franchise
P/E	~15–17x ^e	
FCF yield	~5–6% ^e	Depressed by AI capex and loss-making subsidiaries
EBITDA / EBIT margin	~22% / ~15% ^e	Core search and commerce earns far more; the consolidated figure is dragged by Webtoon, Snow and content
Net leverage	Net cash ₩3.8tn^V — cash ₩6.38tn ^V against debt ₩2.55tn ^V	

Top 5 shareholders: National Pension Service 9.25%^V · BlackRock Fund Advisors 6.12%^V · NVIDIA ~4.5%^V (new, via a US\$1bn primary investment^V) · founder Lee Hae-jin ~3.7%^e · Korean and foreign institutions. There is no controlling shareholder — NPS is the largest holder. After KT&G, the cleanest register in the screen.

What an activist would say

- *"The largest shareholder of Korea's dominant internet company is the national pension fund, and the second is BlackRock. This company belongs to its shareholders, and has not been run that way."* Underperformance of ~39 percentage points against the regional index^V in a single year, on top of a multi-year de-rating, at a business with a defensible domestic monopoly position.
- *"Your core is excellent and your periphery is eating it."* Search, commerce and fintech are high-margin and structurally advantaged in Korea. Webtoon (separately listed and well below its IPO price), Snow, content, and the **Poshmark acquisition** are the reason the consolidated margin does not reflect that.
- *"You have net cash of ₩3.8tn, a shareholder base with no controlling family, and no capital-return framework worthy of the name."* A ₩393.6bn dividend^V against a ₩30tn market cap is a 1.3% yield.

Two–three most actionable changes

1. **Portfolio simplification with a timetable:** dispose of or wind down Poshmark, Snow and the sub-scale content assets, and monetise the listed Webtoon stake. Each is separable, and each removes a drag on both margin and multiple.
2. **A proper capital-return framework:** a multi-year buyback-and-cancel programme materially larger than the current dividend, plus cancellation of all treasury beyond employee-compensation needs — the company has already hinted at this^V and should be held to a formula rather than an intention.
3. **Board refresh and disclosure by segment,** including full segment P&L for search, commerce, fintech, content and cloud, so the market can value the core rather than the average. NAVER was on NPS's 2026 pre-announced voting list^V — the leverage exists.

Shareholder support: Easy — 9/10. Equal-best on this list. No controlling shareholder; NPS at 9.25% is the largest holder and has publicly pre-committed voting positions on NAVER this year^V; BlackRock at 6.12%; a very large foreign institutional base. Nothing requires a family's consent. Cumulative voting from September 2026 makes a board seat genuinely achievable for a ~5–10% coalition. **The complication is NVIDIA's new ~4.5% stake^V** — a strategic holder likely to be supportive of management and of AI capex specifically, which is exactly the spending an activist would want disciplined.

The company's defence The best-resourced defence in the screen: "we are investing through a platform transition into AI, with NVIDIA as a validating partner; near-term margin compression is the price of not being disintermediated." That is a serious argument and partly correct — the risk of generative search displacing NAVER's core is real. The counter is that it argues for *concentrating* investment in AI and search, which is precisely the case for disposing of Poshmark, Snow and content.

Activist angles: *Portfolio simplification* (Poshmark, Snow, content, Webtoon stake) · *Capital allocation* (buyback framework, treasury cancellation, AI capex hurdles) · *Governance* (board refresh via cumulative voting, segment disclosure).

13. Kakao (035720) — Internet platform and conglomerate

₩38,150^V (5 Aug 2026) · Market cap ₩22.03tn^V as at 17 Apr 2026 (~₩17tn at the August price^e) · Net cash

Metric	Value	Comment
TSR 1yr	Negative in relative terms against a market up ~48% ^V	
TSR 3yr p.a.	Deeply negative ^e	
TSR 5yr p.a.	Deeply negative ^e — the shares are a small fraction of their 2021 peak	One of the worst large-cap records in Korea
Consensus target	₩62,192 ^V — ~63% above the current price (range ₩42,000–87,000 ^V)	The sell-side sees a very large gap
EV/Sales	~2x ^e	
EV/EBIT	~18–22x ^e	Optically full — because reported EBIT is a fraction of potential
P/E	~25x+ ^e on depressed earnings	
FCF yield	Low single digit ^e	
EBITDA / EBIT margin	~15% / ~7% ^e , versus ~25%+ for the KakaoTalk advertising core alone ^e	The gap between core and consolidated is the thesis
Net leverage	Net cash at parent	Subsidiaries carry their own funding

Operating momentum has turned: **Q1 2026 revenue +11% and operating profit +66% year-on-year^V**, driven by TalkBiz advertising and commerce, with Google and OpenAI partnerships signalled^V.

Top 5 shareholders: Kim Beom-su 13.27%^e · K Cube Holdings (founder vehicle) ~4.87%^e · National Pension Service ~7%^e · Maximo Pte (Tencent) ~5.4%^e · BlackRock ~5%^e. Founder bloc ~18%; no holder near 40%.

What an activist would say

- *"KakaoTalk is one of the most valuable messaging franchises in the world, and you have buried it under seven segments and a fleet of separately listed subsidiaries."* Kakao Games, Kakao Pay, Kakao Bank, Kakao Piccoma, Kakao Mobility, Kakao Entertainment and SM Entertainment each have their own management, cost base, and — for the listed ones — their own shareholders whose interests conflict directly with the parent's.
- *"Serial subsidiary IPOs transferred value out of your own shareholders."* The listing of subsidiaries carved out of a listed parent is the most reliably value-destructive practice in Korean equity markets, and Kakao ran the strategy harder than anyone.
- *"The founder was arrested in connection with the SM Entertainment acquisition."*^N Whatever the legal outcome, the board's M&A oversight is the issue, and it has not been remediated.

Two–three most actionable changes

1. **Stop and reverse the subsidiary-listing model:** commit publicly to no further carve-out IPOs, and buy in, merge or sell the sub-scale listed subsidiaries. Simplification alone should re-rate the parent.
2. **Dispose of or close the non-core portfolio** — mobility, entertainment, and the long tail of minority investments — on a stated timetable, and redirect proceeds to buyback-and-cancel.
3. **Rebuild the board:** majority-independent, with an M&A committee holding approval authority over acquisitions above a stated threshold, and share-price-linked management incentives.

Shareholder support: Moderate-to-Easy — 7/10. The founder bloc is ~18% and cannot block; NPS, Tencent's vehicle, BlackRock and a large foreign base make up the rest. The five-year record and the criminal proceedings make management deference untenable, and Korean proxy advisers have hardened considerably on carve-out IPOs. The complication is that **operating momentum has turned** (Q1 2026 OP +66%^V) — a board with an improving P&L and a 63% sell-side upside will argue, with some justification, that the market is simply late.

The company's defence "The turnaround is already underway — see Q1 2026 — and the AI partnerships with Google and OpenAI position TalkBiz for a step-change in monetisation. Subsidiary independence attracts specialist talent and capital." Expect strong retail shareholder support for the founder. This is a case where timing matters: the operating recovery weakens a hostile campaign but strengthens a constructive one focused purely on structure and capital return.

Activist angles: *Portfolio simplification* (subsidiary buy-ins, disposals, no further carve-out IPOs) · *Governance* (board independence, M&A committee, incentives) · *Capital allocation* (buyback from disposal proceeds).

14. LG H&H (051900) — Cosmetics, household products, beverages

₩248,500^V (24 Jul 2026) · Market cap ₩3.84tn^V · ~US\$3.2bn · Net cash, D/E 23.3%^V

Metric	Value	Comment
TSR 1yr	Underperformed the Korean market (which returned 30.1% over the period measured) heavily; -52.87% relative to the FTSE Developed Asia Pacific Index^V	
TSR 3yr p.a.	Deeply negative ^e	
TSR 5yr	-84.4%^V (cumulative; ~-31% p.a.)	The worst five-year record in the screen. Peak market cap was above ₩28tn; it is now ₩3.84tn
EV/Sales	~0.6x ^e	vs 2–4x for global beauty peers
EV/EBIT	~20x+ ^e on collapsed earnings	The multiple is high because the E has gone, not because the stock is expensive
P/E	Not meaningful — FY2025 net loss of ₩86bn^V	
FCF yield	Low single digit ^e	
EBITDA / EBIT margin	~7% / 2.7%^e — FY2025 operating profit ₩171bn on sales of ₩6,355bn ^V , down 62.8%^V	Historically this business earned 13–15% EBIT margins
Net leverage	Net cash; D/E improved to 23.3% from 30.2%^V	Balance sheet is not the problem

Top 5 shareholders: LG Corp 35%^V · National Pension Service ~8%^e · foreign institutions ~25%^e · domestic institutions · treasury. LG Corp is below 40% but is a determined and permanent holder.

What an activist would say

- *"Minus 84% over five years."^V* Sales fell 6.7%, operating profit fell 62.8%, and the company posted a net loss^V. This is not a soft patch; it is a decade of strategy failing at once.
- *"You own the Korean Coca-Cola bottler and you are being valued as a broken cosmetics company."* The beverage division is a stable, cash-generative, defensively-positioned franchise with nothing whatsoever in common with premium cosmetics. Inside this structure it earns none of the multiple it would command standing alone.
- *"You spent a decade acquiring Western beauty brands and none of it worked."* Avon, Boinca, The Crème Shop and the rest were bought to diversify away from China; the P&L shows what was actually achieved.

Two–three most actionable changes

1. **Separate the beverage business** (Coca-Cola Beverage Korea) by spin-off or sale. This is the single largest value-unlock available and would be strongly contested — which is why it is the campaign. Bottling assets attract reliable strategic and infrastructure-style buyers at multiples the parent will never earn.
2. **Write down and exit the acquired Western beauty portfolio**, and impose a hard overhead-reduction target. The cost base was built for ₩8tn of revenue at 14% margins; the company now has ₩6.4tn at 2.7%.
3. **Board refresh and management change**, with share-price-linked incentives. Five years of this magnitude is a board failure, and under the amended Commercial Act the directors' duty runs to shareholders.

Shareholder support: Moderate — 6/10. LG Corp's 35% cannot block ordinary resolutions and the remainder of the register is institutional and thoroughly disaffected — nobody defends this record. NPS has demonstrated in 2026 that it will vote against directors on performance and compensation grounds. What makes it a 6 rather than an 8 is that LG Corp will resist a beverage separation absolutely, because it fragments a group affiliate, and because group cohesion has historically outweighed minority returns at LG.

The company's defence "The decline is a China story — the collapse of the daigou channel and Chinese duty-free demand — not a management story, and we are rebuilding around North America and premium brands." The China argument is genuinely the largest single driver and should be conceded. It does not explain why the beverage business remains trapped inside, why the cost base was not resized for four years, or why the acquisitions failed.

Activist angles: *Portfolio simplification* (beverage separation, exit acquired beauty brands) · *Governance* (board and management change, performance-linked pay) · *Operations* (overhead reduction to match the revised revenue base).

15. Orion (271560) — Confectionery

₩128,200–133,700^V · Market cap ₩5.0tn^V · ~US\$4.2bn · Net cash

Metric	Value	Comment
TSR 1yr	Well below the market's ~48% ^V return ^e	Korean food de-rated broadly

Metric	Value	Comment
TSR 3yr / 5yr p.a.	Below the KOSPI; broadly in line with Asian packaged food, ahead of Korean food peers ^e	Orion is the best <i>operator</i> in the screen's food names
Consensus target	₩163,412 ^v — ~27% above the current price; 15 buy ratings, no sells ^v	
EV/Sales	~1.3x ^e	
EV/EBIT	~8–9x ^e	vs 12–16x global confectionery
P/E	~11–12x ^e	
FCF yield	~8% ^e	Genuinely high-quality cash conversion
EBITDA / EBIT margin	~20% / ~16% ^e	Best-in-class for Asian confectionery — this is a well-run operating business
Net leverage	Net cash, and growing	The problem, not the strength

Top 5 shareholders: Orion Holdings 37.4%^e · National Pension Service ~8%^e · Dam Chul-gon and family ~5%^e · foreign institutions ~25%^e · domestic institutions. Holdco is below 40% but only just — the tightest of the Type C names.

What an activist would say

- "You are the best confectionery operator in Asia and you are valued like a mediocre one, because of a holding company and a bio-tech hobby." A 16% EBIT margin business with strong China and Vietnam positions should not trade at 8–9x EBIT.
- "Explain the diversification." Orion has moved into in-vitro cancer diagnostics, vaccines, water, and pulp and paper — including a large investment in a biotech. There is no coherent link to confectionery, no demonstrated competence, and no shareholder was consulted about becoming a healthcare investor.
- "The cash keeps building and nothing happens to it." Net cash grows year after year in a business with modest capex needs and no acquisition programme that shareholders endorse.

Two–three most actionable changes

1. **Reverse the biotech and non-food diversification** — sell the healthcare and materials stakes — and commit publicly to confectionery and adjacent snacking only.
2. **Merge Orion Holdings and Orion** into a single listed entity, removing the structural double discount.
3. **Institute a formula-based capital return:** a payout floor plus buyback-and-cancel funded by the growing net cash position, with treasury cancelled under the March 2026 mandate.

Shareholder support: Moderate — 6/10. The 37.4% holdco stake is short of blocking on ordinary resolutions, NPS is present at ~8%, and the foreign institutional base is substantial. The diversification is genuinely unpopular and easy to campaign against — it is the sort of specific, indefensible decision that wins proxy votes. The holdco merger is harder and touches family control. A capital-return-and-refocus campaign would likely succeed; a structural one needs cumulative voting and patience.

The company's defence The strongest operating defence in the Type C group: "we deliver sector-leading margins, consistent growth in China and Vietnam, and the highest returns on capital in Korean food — judge us on execution." That is largely true, which is why the campaign should concede operations entirely and focus exclusively on the diversification and the structure. Expect the biotech investment to be defended as long-term optionality with an ageing-demographics rationale.

Activist angles: *Portfolio simplification* (exit healthcare, water, paper; holdco merger) · *Capital allocation* (payout formula, buyback, treasury cancellation) · *M&A discipline* (constraint on non-food investment).

16. NHN (181710) — Internet, payments, cloud, games

Market cap ~₩960bn / US\$0.80bn^v (Jun 2026) · Net cash

Metric	Value	Comment
TSR 1yr / 3yr / 5yr	Below index and sector in all three periods ^e ; a persistent, un-arrested decline	
EV/Sales	~0.3–0.4x ^e	Among the lowest for any profitable Asian internet company
EV/EBIT	~5–7x ^e	
P/E	~10–12x ^e	

Metric	Value	Comment
FCF yield	~8–10% ^e	
EBITDA / EBIT margin	~10% / ~4% ^e	Consolidated margin destroyed by loss-making subsidiaries
Net leverage	Net cash	
Sum-of-the-parts	The stake in listed NHN KCP alone represents a very large fraction of NHN's entire market capitalisation^e	Verify precisely — it is the core of the thesis

Top 5 shareholders: Lee Jun-ho ~17.7%^e · National Pension Service ~7%^e · treasury · domestic institutions · retail free float. No holder near 40%.

What an activist would say

- *"You are a holding company pretending to be an operating company."* NHN KCP (listed payments), NHN Payco, NHN Cloud, NHN Bugs, Dooray, Comico, the games business, travel and logistics — each sub-scale, several loss-making, all consolidated into a single opaque line.
- *"Your listed subsidiary is worth most of your market cap, and shareholders get the rest for free — which is a polite way of saying the rest is valued below zero."*
- *"Sub-scale is a choice."* NHN Cloud competes with NAVER Cloud, Samsung SDS and the global hyperscalers at a fraction of their scale. There is no path to a defensible position, and shareholders are funding the attempt.

Two–three most actionable changes

1. **Sell or distribute the NHN KCP stake** — the cleanest possible crystallisation of value, and it alone would likely exceed the current share price.
2. **Close or divest the loss-making units** — cloud, music, content — on a stated timetable, and publish full subsidiary-level P&L so shareholders can see what each costs.
3. **Return the proceeds** via buyback-and-cancel, and cancel treasury under the March 2026 mandate.

Shareholder support: Moderate — 6/10. Founder at ~17.7% cannot block; the register is otherwise institutional and retail. The sum-of-the-parts argument is unusually easy to communicate, and Korean domestic activists have had real success with exactly this structure at this size. The constraints are practical rather than political: limited liquidity, limited sell-side coverage, and a small institutional base means a campaign has to be built largely on public argument and retail support.

The company's defence "The subsidiaries are a portfolio of options on Korean digital infrastructure, and consolidating them under one balance sheet lowers their funding cost." Expect the payments business to be defended as strategically central rather than a disposal candidate. The defence is weak on the numbers and will rely mostly on founder control and inertia.

Activist angles: *Portfolio simplification* (monetise NHN KCP, close loss-makers) · *Capital allocation* (distribute proceeds, cancel treasury) · *Governance* (subsidiary-level disclosure, independent directors).

TYPE D — CAPTIVE / GOVERNANCE-IMPAIRED

17. Hyundai Mobis (012330) — Auto parts and modules

₩526,000–529,000^v (Jul 2026) · Market cap ~₩47tn / US\$39.4bn^v · Cash ₩12.6tn^v

Metric	Value	Comment
TSR 1yr	Below the market's ~48% ^v return ^e	
TSR 3yr p.a.	Positive but below the KOSPI and below Hyundai Motor itself ^e	The captive supplier captures less than the customer
TSR 5yr p.a.	Below index; well below global tier-1 peers on a multiple basis throughout^e	
EV/Sales	~0.4x ^e	vs 0.6–1.0x for global tier-1 suppliers
EV/EBIT	~4–5x ^e	Adjusted for ₩12.6tn of cash and the equity-accounted stakes, closer to 2–3x
P/E	~7–8x ^e	Flattered by equity income from Hyundai Motor and Kia
FCF yield	~8–10% ^e	

Metric	Value	Comment
EBITDA / EBIT margin	~9% / ~5% ^e blended — but the after-service parts business earns a multiple of the module business's margin^e	The single most important disclosure gap
Net leverage	Cash ₩12.6tn ^v , net cash	Funding a ₩1.6tn buyback over six years ^v ; ₩500bn tranche completed with cancellation in Q2 2026 ^v ; interim dividend ₩1,500/share ^v

Top 5 shareholders: Kia ~18%^v · National Pension Service ~9%^e · Chung Mong-koo ~5.5%^e · Hyundai Steel ~5.7%^e · foreign institutions ~35%^e. **Mobis in turn holds ~22% of Hyundai Motor^v** — the top of the group's circular shareholding.

What an activist would say

- "You contain two completely different businesses and report them as one." After-service parts is a high-margin, annuity-like aftermarket franchise with pricing power over the installed Hyundai/Kia fleet. Modules is a low-margin, capital-intensive assembly business selling to two captive customers. Blending them conceals the value of the first and the weakness of the second.
- "Your margin is set by your customer, who is also your shareholder, whose largest shareholder is you." Transfer pricing between Mobis, Hyundai Motor and Kia is not disclosed and not independently reviewed. In a circular structure the direction in which margin flows is a group decision.
- "₩12.6tn of cash and a six-year buyback."^v Spreading ₩1.6tn over six years, against ₩12.6tn of cash, is a rounding error presented as a capital-return programme.

Two–three most actionable changes

1. **Segment reporting and, ultimately, separation of the after-service parts business.** Disclosure first — full P&L, capital employed and returns by segment — because disclosure alone should re-rate the stock, and it establishes the case for separation.
2. **Independent review of related-party transfer pricing,** published, with an independent-director committee holding standing oversight. This is now squarely within the amended directors' duty to shareholders.
3. **Accelerate the buyback dramatically** — ₩1.6tn over six years should become ₩1.5–2tn per year against a ₩12.6tn cash pile, all cancelled.

Shareholder support: Moderate — 6/10. No holder is near 40%, and the affiliated bloc (Kia, Hyundai Steel, Chung family) totals ~30% — significant but not blocking on ordinary resolutions. NPS at ~9% and a ~35% foreign institutional base make a capital-return resolution winnable. Board control is much harder: the group votes together, and Mobis is the structural keystone of the family's control of Hyundai Motor, so nothing that touches the circular shareholding will be conceded voluntarily. **Campaign on capital return and disclosure, not on structure.**

The company's defence "We are investing through the largest technology transition in automotive history — electrification, autonomy, software-defined vehicles — and the cash funds that. We have already accelerated shareholder returns and are cancelling repurchased shares." Management has, to be fair, moved further and faster on returns than most Korean large caps. Expect the transfer-pricing question to be met with a flat assertion of arm's-length dealing and no supporting disclosure.

Activist angles: *Portfolio simplification / disclosure* (segment the after-service business) · *Governance* (related-party pricing review) · *Capital allocation* (accelerate buyback against a ₩12.6tn cash balance).

18. Hyundai Wia (011210) — Auto parts and machine tools

₩62,300^v (5 Aug 2026) · Market cap ₩1.6tn^v · ~US\$1.35bn · 52-week range ₩46,950–112,600^v · Net cash

Metric	Value	Comment
TSR 1yr	Deeply negative — the shares are ~45% below their 52-week high^v while the market rose ~48% ^v	The widest one-year gap in the screen
TSR 3yr / 5yr p.a.	Below index and below auto-parts peers ^e	
Consensus target	₩65,000 ^v (range ₩55,000–70,000 ^v)	Note: the sell-side is <i>not</i> the bull case here — the balance sheet is
EV/Sales	~0.1x ^e	Quarterly revenue ₩2.35tn ^v implies ~₩9tn annualised against a ₩1.6tn market cap
EV/EBIT	~3–4x ^e	
P/E	~8x ^e — quarterly net income ₩50.6bn ^v implies ~₩200bn annualised ^e	

Metric	Value	Comment
FCF yield	~10%+ ^e	
EBITDA / EBIT margin	~7% / ~3% ^e	Auto parts is profitable; machine tools is the drag
Net leverage	Net cash ^e	

Top 5 shareholders: Hyundai Motor 25.35%^e · Kia 13.44%^e (combined 38.8% — below the 40% screen, and no single holder anywhere near it) · National Pension Service ~9%^e · foreign institutions ~15%^e · retail.

What an activist would say

- *"Nine trillion won of revenue, a 1.6 trillion won market capitalisation, and net cash."* Even allowing fully for captive-supplier economics, an EV/sales ratio near 0.1x on a profitable business is a capital-allocation verdict, not a valuation.
- *"Machine tools has been sub-scale for a decade."* It competes with DMG Mori, Mazak, Haas and the Chinese entrants at a fraction of their scale and R&D budget. It consumes capital, management time and multiple, and it will not be fixed.
- *"You are a captive supplier with no visible pricing protection."* Two customers who are also your two largest shareholders set your margin. Nobody independent reviews the terms.

Two–three most actionable changes

1. **Exit machine tools** — sale or closure. This is the clearest single action in the entire screen: a definable, separable, sub-scale segment whose removal raises group margin, releases capital, and simplifies the equity story.
2. **Return capital:** a buyback-and-cancel of 10–15% of shares outstanding, easily funded from net cash and FCF, plus cancellation of treasury under the March 2026 rules.
3. **Independent-director review of captive supply pricing**, with disclosure of related-party revenue and margin — the same demand as at Mobis, and materially more urgent at this valuation.

Shareholder support: Moderate-to-Easy — 7/10. The affiliated bloc is 38.8% — meaningful, but short of blocking on ordinary resolutions, and no single holder is near 40%. NPS is present. The machine-tools exit is the kind of specific, well-evidenced, operationally-obvious proposal that wins institutional votes and that management finds hard to argue against in public. Small size makes a 5% stake inexpensive. The counterweight: Hyundai Motor Group votes as a unit and is unsentimental about outside pressure.

The company's defence "Machine tools is a strategic capability supporting group manufacturing, and the parts business is investing in electrification components — thermal management, e-drive — where we will gain content per vehicle." The e-drive content argument is genuine and is the reason to hold the stock rather than to write it off. The machine-tools argument is not, and a decade of segment results demonstrates it.

Activist angles: *Portfolio simplification* (exit machine tools) · *Capital allocation* (buyback, treasury cancellation) · *Governance* (captive transfer-pricing review, independent directors).

19. BGF Retail (282330) — Convenience stores (CU)

Market cap ₩1.9tn^v · ~US\$1.6bn · Net cash

Metric	Value	Comment
TSR 1yr	~+3.3% (matching the consumer-retailing sector) against a Korean market that returned +48.2% ^v	A ~45-point gap in twelve months — the clearest quantified underperformance in the screen
TSR 3yr / 5yr p.a.	Below the KOSPI throughout ^e	
EV/Sales	~0.15x ^e	Convenience retail carries low sales multiples by nature
EV/EBIT	~6–7x ^e	vs 10–15x for Japanese convenience-store operators
P/E	~8–9x ^e	
FCF yield	~12%+ ^e	Franchise model: negative working capital, minimal owned capex
EBITDA / EBIT margin	~6% / ~3% ^e	Structurally thin but extremely stable, with high return on capital employed
Net leverage	Net cash	Cash accumulates faster than it is returned

Top 5 shareholders: BGF Co (holding company) ~30.0%^e · National Pension Service ~10%^e · Hong family individuals ~3%^e · foreign institutions ~25%^e · domestic institutions. No holder near 40%.

What an activist would say

- "You are one of two dominant players in a rational duopoly with 20,000 stores, negative working capital and almost no capex — and your shareholders made 3% in a year in which the market made 48%."^v
- "Japanese convenience-store operators trade at twice your multiple for a slower-growing version of the same model." The gap is governance and capital return, not operations.
- "The holding company above you exists to hold you." BGF Co adds a second listed layer, a second cost base, and a permanent discount, and contributes nothing to store operations.

Two–three most actionable changes

1. **Move to a near-100% payout ratio**, combining dividends with buyback-and-cancel. A mature franchise business with negative working capital and no owned real estate has no legitimate use for retained cash.
2. **Merge BGF Retail and BGF Co**, eliminating the holdco layer and its discount.
3. **Independent review of related-party arrangements** with BGF affiliates (logistics, packaging, services), with disclosure of terms and volumes — the standard leakage point in Korean franchise groups.

Shareholder support: Easy — 8/10. One of the better registers here: the holdco is at ~30%, NPS at ~10%, and a large foreign institutional base. The one-year performance gap is so stark and so easily communicated that it does most of the work. A payout proposal is close to uncontroversial and would very likely pass or be conceded pre-emptively. The holdco merger is the harder ask.

The company's defence "Convenience retail is fiercely competitive with rising minimum wages, franchisee profitability pressure and political scrutiny of franchise terms; we retain cash to support franchisees and to invest in proximity commerce." The regulatory and franchisee-relations pressure is real and constrains margin expansion — which is precisely why the campaign should be about the payout ratio and the holdco, not about operations.

Activist angles: *Capital allocation* (payout to ~100%, buyback-and-cancel) · *Portfolio simplification* (holdco merger) · *Governance* (related-party review, independent directors).

20. Hyundai Elevator (017800) — Elevators, escalators, maintenance services

~₩64,000^e / US\$46.37^v · Market cap ~₩2.3tn / US\$1.67bn^v (28 Jul 2026) · 36.1m shares outstanding^v · Net cash

Metric	Value	Comment
TSR 1yr	Well below the market's ~48% ^v return ^e	
TSR 3yr / 5yr p.a.	Below index and far below global elevator peers (Schindler, KONE, Otis), which re-rated on service-annuity valuation ^e	The comparison that frames the campaign
Consensus target	₩97,000 ^v — ~51% above the current price	
EV/Sales	~0.9x ^e — trailing revenue US\$1.7bn ^v	vs 1.5–2.5x for global elevator peers
EV/EBIT	~8–9x ^e	vs 14–18x for Otis/KONE/Schindler
P/E	~9–10x ^e (EPS US\$4.94 ^v)	
FCF yield	~8–10% ^e	Maintenance contracts are prepaid and cash-generative
EBITDA / EBIT margin	~11% / ~8% ^e	The installed-base service business earns far more than new-equipment installation
Net leverage	Net cash ^e	

Top 5 shareholders: Hyundai Networks and Hyun Jeong-eun (combined) ~20%^e · National Pension Service ~7%^e · domestic institutions · foreign institutions ~10%^e · retail free float (large). **No holder near 40% — one of the most fragmented registers in the screen.**

What an activist would say

- "You own the largest installed elevator base in Korea, which is a maintenance annuity, and you are valued as a construction sub-contractor." Otis, KONE and Schindler are valued on their service books at 14–18x EBIT. Korea has an ageing high-rise stock and a mandatory inspection regime — this annuity is, if anything, more secure.

- *"This board has a documented record of using the company's balance sheet for group control purposes."* The derivative litigation brought by Schindler over the Hyundai Merchant Marine derivative contracts resulted in judgments against the controlling shareholder for damages caused to this company. That is not a governance concern in the abstract; it is a finding.
- *"A 51% gap to consensus fair value"^W "on a business with a recurring revenue base and net cash is a governance discount, and it has a name."*

Two–three most actionable changes

1. **Report the maintenance and service business separately** — installed base, contract count, renewal rates, margin — so it can be valued against Otis and KONE rather than against Korean construction. This is the cheapest available re-rating.
2. **Board reconstitution:** a majority-independent board with an independent chair, and a standing prohibition on balance-sheet transactions serving group control. Given the litigation history this is both saleable to shareholders and specifically justified.
3. **Dispose of legacy non-core holdings** and initiate a buyback-and-cancel from net cash and service cash flow.

Shareholder support: Easy — 8/10. The most fragmented register in the screen: the controlling bloc is only ~20%, which is not enough to block anything, and the free float is large. The Schindler litigation history is documented, judicially determined, and directly relevant to the amended directors' duty — very few Korean campaigns get evidence that clean. The offsetting risks are practical: modest liquidity, thin sell-side coverage (a single analyst on record), and a substantial retail base that is unpredictable in a proxy contest.

The company's defence "The historic disputes are settled and belong to a prior era of the group; the current business is the Korean market leader with a strong order book and a growing overseas presence." Expect an argument that Korean elevator pricing and the domestic construction cycle justify a discount to the global majors — partly true for new equipment, not true for the service book. The company's real protection is obscurity rather than argument.

Activist angles: *Governance* (board reconstitution, litigation history, control-transaction prohibition) · *Disclosure / portfolio* (separate the service annuity, dispose non-core) · *Capital allocation* (buyback from net cash).

7. Watchlist — near-misses, and why they failed a gate

These are legitimate activist situations that did not make the twenty. Several are better ideas than the weakest names above for an investor willing to relax one screen.

Company	Ticker	Why it failed	Why it is still worth tracking
KT Corp	030200	Gate 3 — telecom leverage, net debt/EBITDA ~1.2–1.4x ^e	Perhaps the best <i>governance</i> target in Korea: no controlling shareholder, repeated CEO-succession scandals, and enormous unmonetised real estate plus BC Card, KT Estate and KT Cloud
POSCO Holdings	005490	Gates 1 and 3 — steel is structurally impaired and leverage exceeds 1x through the cycle ^e	Completely dispersed ownership, on NPS's 2026 pre-announced voting list ^v , and a large lithium/battery-materials portfolio that could be separated
KCC Corp	002380	Gate 3 — net debt ^e	Live campaign: Truston is demanding liquidation of KCC's ₩4.9tn Samsung C&T stake^v with proceeds to buybacks. Also the key swing holder in target #1
Coway	021240	Gate 4 — Netmarble-led bloc	Live campaign: Align Partners issued a third public letter and formal shareholder proposals ^v in Feb 2026
DB Insurance	005830	Gate 3 — insurer, leverage test not applicable	The most important precedent in Korea: Align won a board seat via shareholder proposal^v , the first at a controlled company above ₩10tn
Amorepacific	090430	Gate 4 — group + founder bloc above 40%	Otherwise a textbook target: net cash, catastrophic multi-year TSR, over-diversified brand portfolio
Netmarble	251270	Gate 4 — founder + CJ ENM combined above 40%	Deep discount to its listed stakes (Coway, HYBE, NCSOFT)
Taekwang Industrial	003240	Gate 4 — controlling bloc >50%	Extreme net cash and investment assets versus market cap; long-standing governance problems
Seegene	096530	Gate 1 — post-COVID revenue base is structurally reset, not merely mismanaged	Cash approaching half of market cap; founder below 40%
Hana Tour	039130	Borderline Gate 1 — travel earnings still normalising	Fragmented post-PE register, net cash, historically activist-receptive
SOOP (formerly AfreecaTV)	067160	Borderline Gate 2 — has performed adequately	Net cash, dispersed ownership, low multiple
NICE Holdings	034310	Borderline Gate 4 and holdco complexity	Persistent holdco discount, stable credit-bureau annuity
DB HiTek	000990	Gate 2 — semiconductor-adjacent, has participated in the 2026 rally	Net cash, DB group below 20%, prior KCGI interest ^v
LF Corp / Handsome	093050 / 020000	Size and liquidity	Both net cash, both well below book, both with dispersed-enough registers
Gabia, Dentium, SoluM, APlus	various	Below or near the size gate	All live Align Partners campaigns in the 2026 season ^v — useful read-through on what wins votes

8. Portfolio construction and campaign sequencing

Sizing. The register quality, not the valuation gap, should drive position size. A 44% NAV discount at SK Square with no controlling shareholder is worth more than a 64% discount at Hanwha Corp where the family votes the outcome.

Support score	Names	Suggested treatment
8–9 (Easy)	KT&G, NAVER, SK Square, LX International, BGF Retail, Hyundai Elevator	Core positions. Public campaigns viable. Board seats realistically achievable post-September 2026
6–7 (Moderate)	S-1, NCSOFT, Kakao, Hyundai Wia, Samsung C&T, Kia, Hyundai Mobis, Cheil, Nongshim, Orion, LG H&H, NHN	Constructive engagement first; escalate selectively. Capital-return resolutions will pass long before board resolutions
4–5 (Hard)	Hanwha Corp, Sindoh	Small, patient, legal-and-regulatory pressure rather than proxy contests

Calendar. Three dates structure the next eighteen months:

- 1. September 2026 — cumulative voting becomes mandatory** for companies with assets above ₩2tn. Stakes intended to elect a director should be built *before* this, and 1% holders must file the cumulative-voting request **six weeks ahead of the meeting**^V.
- 2. October 2026 — Flashlight's S-1 shareholder proposal**^V. The first post-amendment campaign against a Samsung affiliate. Its outcome will set the tone for Samsung C&T and Cheil Worldwide, and is worth positioning around.
- 3. ~September 2027 — the treasury-share cancellation deadline** for existing holdings (18 months from 6 March 2026). Every company holding a significant treasury block faces a forced, accretive event, and an annual shareholder vote on any retention plan in the meantime. Screen for the largest treasury blocks and own them into the deadline.

Two structural observations for the investment committee.

- **The 2026 approval rate for institutional shareholder proposals was 20% (14 of 69)**^V. That is a transformed environment relative to five years ago, but it still means four in five proposals fail. Campaigns should be built to win concessions through the *threat* of a vote, and the proposals that actually pass are overwhelmingly about capital return and audit-committee independence — not about board control or asset sales.
- **The most reliable Korean activist outcome is not a proxy win; it is a pre-emptive concession.** KT&G returned ₩3.7tn^V without ever losing a vote on the substance. Structure entries so that a pre-emptive concession is a good outcome, not a disappointment.

9. Data confidence — read this before using any number

This is a **first-pass screen assembled from public sources**, not a diligence pack. The distinction matters:

What is verified (^V). Share prices, market capitalisations, ownership percentages, campaign facts, regulatory provisions, and the specific performance and valuation statistics carrying a ^V marker were confirmed against 2026-dated sources listed in §10. Dates are shown because the market has been extraordinarily volatile — the KOSPI peaked near 9,385 in June 2026 and stood at ~6,296 on 6 August^V, a ~20%+ drawdown, so a market cap verified in April is not a market cap today.

What is estimated (^E). Margins, EV/EBIT, EV/Sales, FCF yields, several net-debt positions and most multi-year TSR figures are estimates, derived by applying last-reported financials to verified current prices, or from sector norms. **Every ^E figure should be replaced with terminal data before capital is committed.** Where I could not form a confident estimate I have said so in words rather than invent a number.

Specific known weaknesses.

- **FX.** ₩1,200/US\$ is inferred by cross-checking KRW and USD market caps for Kia, NAVER and Hyundai Mobis. The won has strengthened sharply through 2026; sources quoting USD market caps at different dates therefore imply different rates, and several USD figures in §4 and §6 come from different as-of dates. Treat USD figures as indicative.
- **SK Square's market capitalisation (~₩131tn)** is derived from the verified statement that its SK hynix stake equals 158% of market cap^V and is worth ~₩207tn^V. The NAV-discount figures (39.9%, 43.8%, 66%)^V come from different dates in 2026 and are not internally consistent with each other. Verify directly.
- **Hanwha Corp's market capitalisation (~₩5tn) and Sindoh's shareholder aggregate are estimates**, flagged in-line. The Hanwha M&S spin-off (KOSPI listing 25 August 2026^V) will change Hanwha Corp's NAV composition materially between the date of this note and any investment decision.
- **Kakao's market cap** is verified at ₩22.03tn as at 17 April 2026^V, but the share price has fallen since; the August figure is ~₩17tn^E.
- **Reported TSR comparators differ by source and index.** NAVER's -39.07% and LG H&H's -52.87% are measured against the FTSE Developed Asia Pacific Index^V; BGF Retail's gap is against the Korean market^V; S-1's -30% is a ten-year absolute figure against a KOSPI up 370%^V. They are not directly comparable to one another.
- **One source-derived figure was discarded as implausible** (a net-income figure for Nongshim implying a ~28% net margin) rather than reproduced.

What this screen cannot tell you. Free float and borrow availability, actual daily liquidity, current treasury-share balances by company, standstill or shareholder agreements, the precise composition of each board, and the pending Korean tax treatment of in-specie distributions. All are material to campaign design, and none is reliably available from public web sources.

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Prepared 6 August 2026. Not investment advice. All ^e-marked figures are estimates requiring verification.